

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

MARTIN DAVID THIBEAUX, *Claimant*

v.

CHRIS SMITH/CHRIS SMYTH, ROBERT EWING,
TRAILERLAND, LLC, TRAILER MANIA, *Respondents*.

DOCKET NO. 1988(I)

Served: May 12, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant Martin David Thibeaux alleges that Respondents Chris Smith/Chris Smyth, Trailerland, LLC, and Trailer Mania violated 46 U.S.C. § 41102(c) of the Shipping Act in connection with an arrangement to ship Claimant's boat from Fort Lauderdale, Florida to the Bahamas. Claimant also alleges that Respondents are operating as an ocean freight forwarder without a Federal Maritime Commission ("FMC" or "Commission") ocean transportation intermediary ("OTI") license, financial bond, or insurance. On behalf of Respondents, Chris Smith denies the allegations.

A. Background and Procedural History

Claimant hired Chris Smith to ship his 1997 Champion 16ft boat and trailer from Fort Lauderdale, Florida to the Bahamas. Claimant states that he traveled to the Bahamas so that he could pick up the boat when it arrived. When the boat failed to ship on the date Smith stated that it would, Claimant took back his boat from the ocean common carrier's storage yard and filed a complaint against Respondents, alleging that they violated section 41102(c), and seeking reparations for costs he allegedly accrued due to the boat's failure to arrive as expected.

On January 27, 2023, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment, instructing Respondents to file a response to the complaint by February 21, 2023, and indicate whether they consented to the use of the Commission's informal procedures at Subpart S for adjudication of the complaint. The Commission also assigned this

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. On January 30, 2023, Smith filed a response to the complaint and did not refuse consent to the use of the informal procedures. The Chief ALJ then assigned this proceeding to the undersigned for adjudication on January 31, 2023.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission’s Rules, which authorize the SCO in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, on February 13, 2023, an order was issued directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses. Neither party submitted a request. On March 13, 2023, an Order to Submit Supplemental Information (“Order for Supplemental Information”) was issued, directing the parties to provide certain information and documents by April 10, 2023, and permitting any party wishing to file a response to the opposing party’s submission to do so by April 24, 2023. On March 15, 2023, Smith submitted a response to the Order for Supplemental Information. On March 18, 2023, Claimant submitted its response. Neither party submitted a response to the other’s submission. The record is now complete.

As discussed in greater detail below, because Claimant fails to show or allege that Respondents Robert Ewing and Trailerland, LLC (“Trailerland”) were in any way involved in the arrangement in dispute, the complaint against them is dismissed with prejudice. Further, Claimant fails to demonstrate that Respondents Chris Smith and Trailer Mania violated section 41102(c), but the evidence supports his allegation that they operated as an OTI without an FMC license. Because the evidence does not show that Claimant suffered any injury due to the violation, it is found that Claimant is not entitled to receive reparations. However, Claimant paid shipping charges for the boat, which never shipped; Claimant is entitled to a refund of that payment. In addition, a cease-and-desist order is issued, enjoining Respondents from operating as an OTI in the future without an FMC-issued OTI license.

B. Argument of the Parties

Claimant states that he located Respondent Chris Smith through his website, Chris Smyth Boat Forwarding, contacted him by text message, and Smith brought Claimant’s 16-foot boat to Smith’s residence on November 30, 2022, for cleaning and delivery to Seacor Island Lines, FL (“Seacor”), an ocean common carrier, for shipping to the Bahamas. Claimant’s Response to Order to Submit Supplemental Information (“C. Supp. Resp.”) at 1. Claimant states that Smith “represents himself as Trailerland, LLC or Trailermania” and that he claims to be a “freight forwarder” or “shipping agent.” Complaint at 1. Claimant states that Smith informed him on December 2, 2022, that “he ‘got a shipping quote’ of \$2250. \$300 was also given to him as earnest money,” and that on December 5, 2022, Smith informed him that his boat would be shipping out to the Bahamas on December 10, 2022, and arriving in Exuma, Bahamas, on December 12, 2022. C. Supp. Resp. at 1. Claimant states that he then bought a round trip airfare to the Bahamas and a hotel room for a week to pick up his boat, but the boat never arrived, making the trip “a complete waste of time.” C. Supp. Resp. at 1. Claimant asserts:

I arrived at SEACOR office to accuse them of breach of contract. SEACOR agent was VERY EMPHATIC – they never quoted a price for Bill of Lading, NOR did they state a shipping date. However, they looked into their records and stated that

the boat would go out on the Dec. 24th. Shipments are scheduled in order received. It was at this time that I realized the Respondent committed fraud in an international trade zone.

C. Supp. Resp. at 1 (emphasis in original). Claimant states that as a result, he towed his boat from the Seacor yard where Smith had towed it 67 miles away, to a storage yard at a different location. C. Supp. Resp. at 1. Claimant believes that “SEACOR IS GUILTY OF NOTHING” (C. Supp. Resp. at 1 (emphasis in original)) but rather, that Respondents violated section 41102(c) because “at the time of shipping fraud; Smith claimed a departure date of 12/10/2022. Arrival at Georgetown at 12/12/2022,” whereas “Seacor stated that a bill of lading was not yet drawn up and they never set a departure date.” Complaint at 4. Claimant alleges that Respondents stole the money he paid and lied about Seacor. Complaint at 4; C. Supp. Resp. at 1.

In addition, Claimant alleges that Respondents are providing freight forwarding services without an FMC OTI license. According to Claimant, Smith “claims to be a ‘freight forwarder’ or ‘shipping agent’” (Complaint pg. 3 at II), but:

The FMC states that there is no license for any of Respondent’s names, fake or real or corporate. Respondent has fake offices at 4491 Ravenswood/Angler’s Ave. Ravenswood shows a picnic shelter on Google. Angler’s Ave. is a retired, EMPTY and mostly miserable shipping container. Respondent’s website states ‘we ship worldwide.’ There is no ‘we’ – just he, alone, unless The Commission allows for shape-shifting to account for the dual names of a singular person. Respondent uses a SEACOR dock claim and other check-in documents to commit fraud. Respondent quotes the published ferry schedule as his ship out dates.

C. Supp. Resp. at 1 (emphasis in original). Claimant asks that the Commission prevent Respondents from continuing to operate without a license (C. Supp. Resp. at 1), and that the Commission investigate Respondents and take action against them. Claimant’s Additional Allegations at 1. Claimant requests reparations in the amount of \$4035.16, comprising: \$2250, the amount he paid for shipping; \$300 earnest money he says he gave to Smith; \$75 he paid to Seacor for the boat’s storage; \$50 he paid to Seacor for handling; \$415.75 for a United Airlines ticket; \$272.41 for a U Haul; \$560 for the Bay Inn, a Bahamas hotel; \$112 FMC Small Claims payment he paid to initiate this case.

Respondent Chris Smith contends that Claimant’s complaint is frivolous. Answer at 1. He states that after Claimant contacted him to ship the boat to the Bahamas and purchased the 1997 Champion 16ft boat and trailer he towed the boat to his house and allowed Claimant to store the boat there for a few days while Claimant cleaned it. Answer at 1. Smith states that Claimant paid him \$300 for the transport service, which is non-refundable. Respondent’s Supplemental Response Summary (“R. Supp. Sum.”) at 1.

Smith avers that he delivered the boat to Seacor for shipping as agreed. He states that he made a booking with Seacor on December 2, 2022, to ship the boat to Exuma, Bahamas and Seacor told him that its ships depart every Saturday to arrive in Exuma on Monday, and that the boat would depart December 11, 2022, and arrive December 13, 2022, if delivered to them by

December 8, 2022. Answer at 1; R. Supp. Sum. at 1. Smith states that he delivered the boat to Seacor on December 7, 2022, for shipping and Seacor provided a dock receipt confirming receipt of the boat. Answer at 1. Smith explains that due to the holidays Seacor overbooked their ships and when he checked with Seacor he discovered that the boat never departed and Seacor indicated that the shipping would probably occur on December 18, 2022, however, it did not, and Seacor could not guarantee a shipping date. Answer at 1; R. Supp. Sum. at 1.

Smith states that he provided an invoice reflecting that Claimant paid cash in full for the shipping. R. Supp. Sum. at 1. Smith states that he was unable to contact Claimant to update him regarding the development because Claimant did not have phone service in the Bahamas and gave him the phone number for a Bahamian contact called “Margaret,” whom Smith texted on December 12, 2022, with a message that the boat would not depart. R. Supp. Resp. at pg. 1, no. 11. Smith further maintains that it was difficult to communicate with Claimant because Claimant did not have a direct phone line or email. R. Supp. Resp. at pg. 1, no. 11. Smith argues that Claimant was aware that Seacor was supposed to deliver his boat thus, should have contacted Seacor to confirm that the boat was arriving as expected prior to traveling to the Bahamas. R. Supp. Resp. at pg. 1, no. 11; Answer at 1. According to Smith, Claimant never called or emailed and when Smith called him, never answered the phone. Smith states that he subsequently learned from Seacor that Claimant had retrieved his boat before it could be shipped. Answer at 1.

Smith avers:

All he had to do was call me, stop by my house or business and I would have reimbursed him his money. I do ZERO fraudulent business. I/Trailer Mania LLC will reimburse Mr. Thibeaux immediately the \$2,250 for the shipping that did not happen. Trailer Mania LLC has a legitimate business checking account. My main business is located inside Banyan Bay Marine I have no control over these shipping lines, they can do whatever they want. Seacor said it would depart December 8, 2022. I am not responsible for this boat not being exported. And I am not responsible fo[r] any of his other ancillary expenses (u-haul rental expense). Seacor Shipping Line overbooked, did not make him a priority. It probably would have departed after the holidays.

Answer at 1. Smith asserts that he has had “ZERO complaints in the past.” Answer at 1; R. Supp. Resp. at pg. 1, no. 13.

Addressing Claimant’s allegation that he represented himself as a freight forwarder or shipping agent, Smith states:

Trailer Mania LLC acted as the exporter, I was not acting as a freight forwarder and at no time did I say I was a freight forwarder to Mr. Thibeaux. Mr. Thibeaux signed a “Letter of Authorization” (signed form attached, I already emailed it to FMC) to act as his shipping agent. Some shipping lines like Seacor are setup as the agent who handles customs and all the export documentation. Seacor processed all the docs, Trailer Mania LLC only provided the shipping info and passed the booking to Mr. Thibeaux.

I actually told Mr. Thibeaux he can deal directly with Seacor Shipping line, he did not need me. He even knew the shipping line. I said Seacor can handle everything.

Respondent's Email Answer to Freight Forwarder Allegation, dated February 13, 2023. ("R. Freight Forwarder Res.") at 1.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Martin David Thibeaux is an individual shipper residing in Lafayette, Louisiana. Complaint pg. 1 at ¶ I; Answer Ex. 4.
2. Respondent Chris Smith is the sole owner of Trailer Mania, LLC, a non-FMC licensed entity located in Fort Lauderdale, FL, with its website at www.trailermania.net. Answer at pg. 1.
3. Chris Smith has been in business since 2009. R. Supp. Sum. at 1.
4. Trailer Mania's website states:

Trailer Mania has been in the boat exporting business for over 10 years. We ship to most countries in the world. We specialize in Flat Racks, boats loaded sideways in container and RORO (roll-on, roll-off). Our shipping market includes Asia, Caribbean, Central/South America, Europe, England, Africa, Middle East, Australia and New Zealand.

Complaint Ex. 8.

5. I take official notice that Respondents are not licensed by the Commission. *See* <https://www2.fmc.gov/oti/>; *see also* R. Freight Forwarder Res. at 1.
6. Respondent Robert Ewing is Respondent Chris Smith's landlord. Answer at 1.
7. On November 30, 2022, Claimant contacted Smith by text message to arrange the shipping of a boat he planned to purchase from Fort Lauderdale, FL, to the Bahamas. Complaint Ex. 12; Claimant's Response to Order to Submit Supplemental Information ("C. Supp. Res.") at no. 1; Respondent's Supplemental Summary ("R. Supp. Sum.") at 1.
8. On November 30, 2022, Claimant purchased a 1997 Champion 16ft boat and trailer Identification No. ZBI49215I697. Complaint Ex. 12; Answer Ex. 3; R. Supp. Sum. at 1.
9. On December 1, 2023, Smith picked up the boat and brought it back to his house so that Claimant could store the boat there and clean it in preparation for shipping. C. Supp. Resp. at 1; Complaint Ex. 12-15; R. Supp. Sum. At 1.
10. Claimant paid \$300 to Smith when he transported the boat to his house. C. Supp. Res. at no. 1; R. Supp. Sum. at 1.

11. On December 1, 2022, Smith emailed Seacor stating in pertinent part: “Chris Smith here, I need a shipping quote for a boat on a trailer. Respondent’s Email (“R. Email”) 1 at pg. 12.
12. On December 2, 2022, Seacor responded with a quote: “Boat on Trailer @34.88CBM (60CBM Min.) (22’x8x7’) Net Ocean \$1,380.00; Bunker \$177.60; Document \$40; \$35 per Bill of Lading to file SEDs (if cargo value over \$2,500). Rates do not include cargo coverage calculated at 2.5% (cargo value + ocean freight).” R. Email 1 at pg. 10
13. On December 2, 2022, Smith made a booking with Seacor to transport the boat from Fort Lauderdale, FL to Georgetown, Bahamas. R. Supp. Sum. at 1; Answer Ex. 7; R. Supp. Ex. 5.
14. Seacor booking document no. 10059843 dated December 2, 2022, lists Trailer Mania LLC, as the Shipper, Claimant as the Consignee, Port Everglades as the port of loading, Georgetown, Bahamas as the Discharge location, and the cargo to be transported as a 1997 Campion 16ft boat, Vin: ZB1492151697. Complaint Ex. 22; Answer Ex. 7; R. Supp. Ex. 5.
15. On December 2, 2022, Smith sent a text message to Claimant, stating: “Ok. I got a shipping rate of \$2,250. Do you have an address in Exuma?” Complaint Ex. 15; C. Supp. Res. at no. 1.
16. Smith issued Invoice # 1290 to Claimant dated 12/2/2022, which states:

RORO shipping from Port Everglades to Exuma, Bahamas
Departure: December 8, 2022
Arrival: 2-4 days
Includes all export charges, loading, documents,
US custo[m]s, US trucking and export shipping
1997 Campion 16ft trailer
Sales Tax: N/A
Noting else is implied or expressed.
Sub-Total: \$2,250, Payment: Cash (2.250) Total Amount \$0
Seller – Chris Smith

R. Supp. Ex. 2
17. Between December 2, 2022, and December 5, 2022, Smith and Seacor exchanged emails, with Seacor requesting and receiving from Smith various information and documents Seacor stated was needed to arrange transportation of the boat. R. Email 1 at pgs. 3 - 9.
18. On December 5, 2022, Seacor advised Smith: “If you deliver the boat before George Town’s cut off (Thursdays at 4:00 p.m.) this cargo could sail on the next available sailing (12/10).” Smith inquired on the same day: “How many days does it take to arrive

Exuma?” Seacor responded on the same day: “Our cargo sailing on Saturday is arriving to George Town, Exuma on Monday.” R. Email 1 at pgs. 1-3.

19. On December 5, 2022, Smith sent a text to Claimant, stating: “So the ship departs this Saturday to Exuma and arrives Monday. I have to have the boat to the port by Thursday. I will deliver it maybe tomorrow, but for sure Wednesday.” Complaint Ex. pg. 17.
20. Claimant responded the same day: “Superb.... I’ll be in Exuma ahead of Monday.... Going to Bay of Biscayne tomorrow to look for sailboat news for Amos in Exuma. I’ll call you first thing when I get back.....again, thank for everything!!!!.” Complaint Ex. Pg. 17.
21. Smith delivered Claimant’s boat to Seacor on Wednesday, December 7, 2022, and Seacor issued Dock Receipt No. 40012363 for the boat, showing Trailer Mania LLC as the Shipper/Seller. Answer at pg. 1; R. Supp. Sum. at 1; R. Supp. Ex. 3; Complaint Ex. pg. 19.
22. On Monday, December 12, 2022, Smith emailed Seacor: “Chris with Trailer Mania, will Booking 10059843 arrive today to Exuma?” Seacor responded the same day stating: “We are sorry for the delay in your shipment. Due to the high season and the amount of freight sent last weekend some vehicles and cargo were unloaded including yours, we will send it on the next available sailing (12/17). We apologize for any inconvenience we might have caused.” R. Email 3 at pgs. 1-2.
23. On December 16, 2022, Seacor further advised:

We are sorry for the delay in your shipment. Due to the high season and the amount of freight we are sending on this weekend vessel the containers, food, and building material are the priority. As a consequence of this some cargo was unloaded including yours, we will try to send it on the next available sailing.

R. Email 7 at pgs. 3-4.
24. On January 4, 2023, in response to Smith ’s inquiry regarding the status of the boat, Seacor advised that “Martin Thibeaux took back the cargo, this was never send. This boat was released on 12/20.” R. Email 7 at pg. 2. Upon further inquiry from Smith , Seacor elaborated: “The customer did not want to send the cargo, and took it back. We don’t have the boat in our facility. If you need to know more about this please contact Martin Thibeaux.” R. Email 7 at pg. 1.

III. DISCUSSION

A. Controlling Authority

Claimant alleges that Chris Smith, who is not licensed by the Commission, represented himself as a freight forwarder. Pursuant to section 40901 “[a] person in the United States may

not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission." 46 U.S.C. § 40901(a). *See also* 46 C.F.R. § 515.3 (2020) ("Except as otherwise provided in this part, no person in the United States may advertise, hold oneself out, or act as an ocean transportation intermediary unless that person holds a valid license issued by the Commission. For purposes of this part, a person is considered to be 'in the United States' if such person is resident in, or incorporated or established under, the laws of the United States.").

"The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). An "ocean freight forwarder" is a person that –

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19). An NVOCC is "a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(17). A "common carrier" is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
....

46 U.S.C. § 40102(7). The term "shipper" means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers' association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Claimant also alleges that Respondents violated section 41102(c) which provides that "[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or

connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof.

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. Thus, a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *See Greenwich Collieries*, 512 U.S. at 281.

C. Claimant Fails to Allege or Show any Illegal Conduct by Respondents Robert Ewing and Trailerland LLC.

As an initial matter, the claims against Respondents Robert Ewing and Trailerland LLC are dismissed with prejudice. Although Claimant named Robert Ewing, who is Respondent Chris Smith’s landlord, and Trailerland LLC as respondents he fails to allege any conduct on their part in violation of the Shipping Act or even that they were in any way involved in the events giving rise to this proceeding.

D. Claimant Fails to Demonstrate that Respondents Chris Smith and Trailer Mania Violated Section 41102(c).

Claimant alleges that Respondents violated section 41102(c) by failing to ship his boat as agreed. Section 41102(c) prohibits common carriers, marine terminal operators, and OTIs from failing to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

To succeed in a claim for reparations, the claimant must show that: 1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; 2) the alleged illegal conduct is “occurring on a normal, customary, and continuous basis;” 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; 4) the alleged practice or regulation is unjust or unreasonable; and, 5) the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. *See* 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d). All five elements must be proven in order to recover reparations. Claimant does not demonstrate all five elements and I do not find any conduct by Respondents that violates section 41102(c).

While the parties dispute that Respondents acted as a freight forwarder, a type of OTI (*see* 46 U.S.C. § 40102(20)), as discussed in greater detail below, the evidence shows that Respondents acted as an OTI in connection with the arrangement to ship Claimant’s boat to the Bahamas. Accordingly, this element is demonstrated. In addition, because the dispute concerns an arrangement to deliver a boat to the Bahamas, a fact the parties do not dispute, the element requiring that the alleged practice be connected with receiving, handling, storing or delivering property is similarly met.

Claimant fails to show that the alleged illegal conduct by Respondents is occurring on a normal, customary, and continuous basis. Claimant alleges only one illegal act by Respondents – the failure to ship Claimant’s boat as agreed. The Commission has stated that “finding a section [41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. Properly interpreted, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis.” *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 FMC LEXIS 85, at *4 (FMC 2019) (internal citations omitted).

Additionally, Claimant does not demonstrate that Respondents acted unjustly or unreasonably. Smith delivered Claimant’s boat to Seacor, the ocean common carrier, for shipping on the date agreed upon by the parties. PF18 - PF21; Complaint Ex. Pg. 19; R. Supp. Ex. 3. The shipping and arrival dates provided to Claimant were obtained from Seacor. PF18 – PF19. Although it appears that the ocean carrier initially loaded the boat on board its vessel for shipping, it subsequently unloaded the boat from the vessel when it determined that its vessels were overloaded, and postponed the shipping date for the boat. PF22-PF23; R. Email 3 at pgs. 1-2; R. Email 7 at pgs. 3-4. Smith indicates that he notified Claimant’s contact, Margaret, on the same day he discovered that the boat would not ship on the expected date. R. Supp. Resp. at pg. 1, no. 11. The evidence also shows that Claimant subsequently took back his boat before it could be shipped on a later date. PF24. Any failure by the ocean carrier to ship the boat according to the initial schedule it provided is not attributable to Smith, as Smith has no control over the

operational decisions of the ocean carrier. Claimant thus fails to demonstrate that Respondents acted unjustly or unreasonably.

Because Respondents were not at fault for the failure to ship the boat as agreed, Respondents' conduct is not the proximate cause of any losses suffered by Claimant due to the failure to ship the boat as agreed. Accordingly, Claimant's claim for reparations is denied in this regard.

E. Respondents Chris Smith and Trailer Mania Operated as an OTI, in Violation of Section 40901(a) of the Shipping Act and Section 515.3 of the Commission's Regulations.

Claimant alleges that Respondents Chris Smith and Trailer Mania operated as a freight forwarder without an FMC OTI license, financial bond, or insurance. Complaint at 1; C. Supp. Resp. at 1. The Shipping Act and the Commission's Regulations forbid a person in the United States to "advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission." 46 U.S.C. § 40901(a); 46 C.F.R. § 515.3. Claimant notes that Smith states in Trailer Mania's website that "we ship worldwide." C. Supp. Resp. at 1. Claimant asks that Respondents be prevented from continuing to operate as an OTI without a license. C. Supp. Resp. at 1; Claimant's Additional Allegations. Smith denies that Respondents acted as a freight forwarder, asserting that he never told Claimant he was a freight forwarder, and that Claimant signed a "Letter of Authorization" permitting Respondents to act as his shipping agent. R. Freight Forwarder Res. at 1.

An OTI is an ocean freight forwarder or an NVOCC (46 U.S.C § 40102(20)), however, unlike an NVOCC, an ocean freight forwarder is not a common carrier. An ocean freight forwarder is a person residing in the United States who dispatches shipments from the United States through a common carrier, books or arranges space for those shipments on behalf of shippers and processes the documentation for the shipments or performs related activities incident to those shipments (46 U.S.C. § 40102(19)). An NVOCC is a common carrier that does not operate the vessels by which it provides ocean transportation, and is a shipper in its relationship with the ocean common carrier it engages to transport the shipments, holding itself out to the general public to provide ocean transportation of cargo between the United States and a foreign country for compensation, and assuming responsibility for the transportation of the cargo from the place of receipt of the cargo to the place of delivery of the cargo. 46 U.S.C. §§ 40102(7) and 40102(17).

In *CMI*, a case in which the Commission analyzed whether the respondent had been acting as a common carrier rather than a freight forwarder or agent, the Commission stated that "[c]harging ocean freight rate is indicative of carrier status rather than forwarder or agent status," and found that the fact that the respondent "was trying to match or beat the ocean freight rates of a licensed NVOCC further supports that it was holding itself out to provide international ocean transportation as a carrier as opposed to an unregulated entity." *CMI Distribution, Inc. v. Service By Air*, FMC Docket No. 17-05, 2021 WL 9204113, at *6, 3 F.M.C. 2d 83, 88 (FMC July 26, 2021) (citing *Worldwide Relocations – Possible Violations of the Shipping Act*, FMC Docket No. 06-01, 2012 WL 11914713 (FMC Mar. 15, 2012)).

Smith arranged for the shipment of the boat in question from the United States to the Bahamas through Seacor, a common carrier (PF7, PF11-PF12), booked space on Seacor for the transportation of the boat on behalf of Claimant (PF13-PF14), communicated with Seacor in connection with the documentation needed to ship the boat, forwarded the documentation to Seacor, issued an invoice on a Trailer Mania letterhead to Claimant containing fees for “all export charges, loading, documents, US custo[m]s, US trucking and export shipping,” and delivered the boat to Seacor for shipping (PF16-21). The listed services performed by Respondents are services consistent with an ocean freight forwarder 46 U.S.C. § 40102(19). In addition, Smith, using a Trailer Mania invoice, directly charged Claimant ocean freight of \$2,250 for “RORO shipping from Port Everglades to Exuma Bahamas,” an increase of \$617.40 from the freight charged by Seacor (PF11, PF15-PF16), which is “indicative of carrier status rather than forwarder or agent status” and leads to the inference that Respondents held “[themselves] out to provide international ocean transportation as a carrier as opposed to an unregulated entity.” *CMI*, 2021 WL 9204113, at *6. Further, Respondent Trailer Mania was listed as the shipper on Seacor’s booking document and dock receipt (PF14, PF21), suggesting that it assumed responsibility for the transportation of the boat from Port Everglades to Exuma, Bahamas. The enumerated conduct suggests that Respondents also acted as an NVOCC for the transportation of the boat. *See* 46 U.S.C. §§ 40102(7) and 40102(17)).

Regardless of whether one finds that Respondents acted as an ocean freight forwarder or as an NVOCC, the record demonstrates that they provided OTI services in connection with the shipment of the boat. Respondents are not licensed as OTIs by the FMC (PF5). Accordingly, by performing OTI services they violated 46 U.S.C. § 40901(a) of the Shipping Act and 46 C.F.R. § 515.3 of the Commission’s Regulations which forbid a person in the United States to “advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary’s license issued by the Federal Maritime Commission.”

However, Claimant is not entitled to recover reparations solely based on the determination that Respondents committed these violations. As the Commission has stated, “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). Claimant does not allege, and the record contains no evidence that Claimant suffered any injury because Respondents operated without an FMC OTI license. It is thus found that Claimant is also not entitled to receive reparations in this regard.

F. Cease-and-Desist Order.

Claimant asks that Respondents be prevented from continuing to operate as an unlicensed OTI. In *Worldwide Relocations*, discussing the issue of when it is appropriate to issue an injunction against continued illegal conduct, the Commission stated:

After a factfinder has determined that a respondent has violated laws, an injunction is appropriate if the court determines there is a reasonable likelihood that he will violate the laws again in the future. The Commission has, in previous

cases, enjoined parties from certain behavior, including future violations of the Shipping Act. In evaluating whether a reasonable likelihood of future violations exists, the court considers whether a defendant's violation was isolated or part of a pattern, whether the violation was flagrant and deliberate or merely technical in nature, and whether the defendant's business will present opportunities to violate the law in the future.

Worldwide Relocations, 2012 WL 11914713 at *10 (internal ellipses and citations omitted). *See also TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp.*, FMC Docket No. 1966(I), 2022 WL 18068977 at *8, *9 (FMC Dec. 29, 2022) (stating that “[u]nder Commission precedent, a cease-and-desist order may be issued where there is a violation of the Shipping Act,” and that “[t]he Commission has previously expressed that cease-and-desist orders are usually issued when there is a reasonable expectation that respondents will continue or resume illegal activities.” (Internal ellipses and citations omitted)).

Respondents have been found to have violated 46 U.S.C. § 40901(a) of the Shipping Act and 46 C.F.R. § 515.3 of the Commission's Regulations, therefore, a cease-and-desist order is appropriate. In addition, there is evidence suggesting that Respondents are likely to continue operating as an OTI without an FMC OTI license. Respondent Trailer Mania's website states: “Trailer Mania has been in the boat exporting business for over 10 years. We ship to most countries in the world. We specialize in Flat Racks, boats loaded sideways in container and RORO (roll-on, roll-off). Our shipping market includes Asia, Caribbean, Central/South America, Europe, England, Africa, Middle East, Australia and New Zealand.” Complaint Ex. 8. Further, Respondent Chris Smith asserts that Trailer Mania is registered in the State of Florida and that he “has been in business since 2009.” R. Supp. Sum. at 1. Thus, Respondents have been operating as an OTI without an FMC license for a prolonged amount of time and are likely to continue doing so absent a cease-and-desist order forestalling this illegal conduct in the future. Respondents Trailer Mania and Chris Smith are ordered to cease-and-desist from operating as an ocean transportation intermediary without a license in violation of 46 U.S.C. § 40901(a) of the Shipping Act and 46 C.F.R. § 515.3 of the Commission's Regulations.

IV. CONCLUSION

Claimant Martin David Thibeaux fails to demonstrate that Respondents violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c), however, it is found that the evidence corroborates Claimant's allegation that Respondents Trailer Mania and Chris Smith operated as an ocean transportation intermediary without an FMC OTI license. Because Claimant fails to demonstrate that he suffered any injury as a result of the violations, Claimant's request for reparations is denied. Since the boat in question was never shipped, Claimant is entitled to a refund of the shipping charges he paid in the amount of \$2,250. The complaint against Respondents Robert Ewing and Trailerland is dismissed with prejudice. A cease-and-desist order is issued, enjoining Respondents Chris Smith and Trailer Mania from operating as an OTI without an FMC OTI license in the future.

IV. ORDER

Upon consideration of the evidence of record, arguments of the parties, and the foregoing findings and conclusion that Respondents did not violate 46 U.S.C. § 41102(c) of the Shipping Act, that Respondents Chris Smith and Trailer Mania violated 46 U.S.C. § 40901(a) of the Shipping Act and 46 C.F.R. § 515.3 of the Commission's Regulations but Claimant did not suffer actual injury as a result of the violations, it is hereby

ORDERED that the complaint against Respondents Robert Ewing and Trailerland, LLC be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that Claimant Martin David Thibeaux's claim for reparations be **DENIED**. It is

FURTHER ORDERED that Respondents Chris Smith and Trailer Mania refund the shipping charges paid in the amount of \$2,250 to Claimant Martin David Thibeaux. It is

FURTHER ORDERED that Respondents Chris Smith and Trailer Mania **CEASE AND DESIST** from operating as an ocean transportation intermediary without a Federal Maritime Commission license in violation of 46 U.S.C. § 40901(a) and 46 C.F.R. § 515.3.



Theresa Dike
Small Claims Officer